# Meridian Motor Corporation

Annual Report
For the fiscal year ended March 31, 2023 (FY2023)

Tokyo Stock Exchange (Prime Market) · Code 7000

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*All figures in this report are fictional and provided solely for CS4603 coursework.*

# Letter from the President and CEO

To our shareholders, customers, and employees: Meridian Motor Corporation delivered record results in the fiscal year ended March 31, 2023. Consolidated net revenue rose 16.2% to ¥16,910 billion (¥16.91 trillion), and operating profit increased 24.2% to ¥1,124 billion. Net income attributable to owners of the parent reached ¥1,107 billion, our highest ever.

Demand recovered strongly across all major markets as supply-chain constraints eased. Global vehicle unit sales grew to 4.07 million units, up from 3.68 million a year earlier, led by our electrified line-up in North America and Asia. Our Motorcycle business remained the profitability anchor of the group, with a 14.3% operating margin.

We continued to invest for the long term. Research and development expense rose to ¥880 billion, or 5.2% of net revenue, concentrated on battery-electric platforms, software-defined vehicle architecture, and advanced driver assistance. Capital expenditure was ¥590 billion.

Looking ahead to FY2024, we forecast net revenue of ¥18.20 trillion and operating profit of ¥1.30 trillion, and we have raised the annual dividend to ¥150 per share. On behalf of the Board, thank you for your continued trust in Meridian Motor Corporation.

# Financial Highlights — Five-Year Summary

The table below summarizes the consolidated performance of Meridian Motor Corporation over the past five fiscal years. In FY2023, net revenue was ¥16.91 trillion and net income attributable to owners was ¥1,107 billion (¥1.11 trillion).

| ¥ billions (except per-share) | FY2019 | FY2020 | FY2021 | FY2022 | FY2023 |
|---|---|---|---|---|---|
| Net revenue | 11,280 | 12,110 | 13,170 | 14,550 | 16,910 |
| Operating profit | 720 | 610 | 880 | 905 | 1,124 |
| Net income (owners) | 512 | 455 | 657 | 707 | 1,107 |
| Operating margin | 6.4% | 5.0% | 6.7% | 6.2% | 6.6% |
| R&D expense | 690 | 705 | 760 | 815 | 880 |
| Capital expenditure | 480 | 455 | 500 | 540 | 590 |
| **Total assets** | **19,900** | **20,600** | **22,100** | **23,700** | **25,300** |
| **Total equity** | **8,600** | **8,900** | **9,800** | **10,400** | **11,200** |
| EPS (¥) | 296 | 263 | 380 | 409 | 640 |
| Dividend per share (¥) | 100 | 100 | 120 | 135 | 150 |
| Vehicle unit sales (000s) | 3,410 | 3,120 | 3,490 | 3,680 | 4,070 |
| Employees | 196,000 | 199,000 | 203,000 | 206,000 | 210,000 |

Net revenue grew at a five-year compound annual growth rate (CAGR) of 10.7%, from ¥11,280 billion in FY2019 to ¥16,910 billion in FY2023. Earnings per share more than doubled over the same period to ¥640.

# Consolidated Statement of Operations

The following condensed statement of operations compares FY2023 with the prior fiscal year. All amounts are in billions of Japanese yen unless otherwise stated.

| ¥ billions | FY2022 | FY2023 | Change |
|---|---|---|---|
| Net revenue | 14,550 | 16,910 | +16.2% |
| Cost of sales | (11,780) | (13,560) | +15.1% |
| Gross profit | 2,770 | 3,350 | +20.9% |
| SG&A expenses | (1,050) | (1,346) | +28.2% |
| R&D expense | (815) | (880) | +8.0% |
| Operating profit | 905 | 1,124 | +24.2% |
| Finance income, net | 62 | 78 | +25.8% |
| Share of profit of associates | 140 | 168 | +20.0% |
| Profit before tax | 1,107 | 1,370 | +23.8% |
| Income tax expense | (360) | (233) | -35.3% |
| Profit for the year | 747 | 1,137 | +52.2% |
| **Attributable to owners** | **707** | **1,107** | **+56.6%** |
| Attributable to NCI | 40 | 30 | -25.0% |

Gross profit improved to ¥3,350 billion as pricing and mix more than offset higher input costs. The effective tax rate fell to 17.0% following the recognition of previously unrecognized deferred tax assets.

# About Meridian Motor Corporation

Meridian Motor Corporation is a global mobility company headquartered in Tokyo, Japan, and listed on the Tokyo Stock Exchange (Prime Market, code 7000). Founded in 1959, the company designs, manufactures, and sells automobiles, motorcycles, and power products, and provides related financial services.

The company operates 38 production facilities across 14 countries and employs approximately 210,000 people worldwide. Its four reportable segments are Automobile, Motorcycle, Financial Services, and Power Products & Other.

- Headquarters: Tokyo, Japan
- Listing: Tokyo Stock Exchange, Prime Market (code 7000)
- Fiscal year end: March 31
- Reporting currency: Japanese yen (¥)
- Employees: approximately 210,000
- FY2023 vehicle unit sales: 4.07 million
- FY2023 motorcycle unit sales: 18.5 million

# Segment Information

Meridian reports four operating segments. The Automobile segment is the largest by revenue, while the Motorcycle and Financial Services segments deliver the highest operating margins.

| Segment (FY2023, ¥B) | Net revenue | Operating profit | Op. margin |
|---|---|---|---|
| Automobile | 12,900 | 560 | 4.3% |
| Motorcycle | 2,510 | 360 | 14.3% |
| Financial Services | 1,100 | 180 | 16.4% |
| Power Products & Other | 400 | 24 | 6.0% |
| **Consolidated total** | **16,910** | **1,124** | **6.6%** |

The Automobile segment's operating margin of 4.3% reflects continued investment in electrification and elevated logistics costs. The Financial Services segment benefited from a larger finance-receivables portfolio, which reached ¥7,480 billion at year end.

## Regional Performance

Net revenue is presented below by the geographic location of customers. North America remained the largest market, accounting for 43.9% of consolidated net revenue.

| Region (FY2023, ¥B) | Net revenue | % of total | YoY change |
|---|---:|---:|---:|
| Japan | 3,050 | 18.0% | +7.4% |
| North America | 7,420 | 43.9% | +21.8% |
| Europe | 1,680 | 9.9% | +11.3% |
| Asia (ex-Japan) | 3,900 | 23.1% | +18.5% |
| Other regions | 860 | 5.1% | +9.6% |
| **Consolidated total** | **16,910** | **100.0%** | **+16.2%** |

Asia (excluding Japan) was the fastest-growing major region on an absolute basis, adding ¥610 billion of net revenue year over year, driven by motorcycle demand in India and Southeast Asia.

# Consolidated Balance Sheet (Summary)

Total assets increased to ¥25,300 billion, and total equity rose to ¥11,200 billion. The equity ratio was 44.3% at year end.

| ¥ billions | FY2022 | FY2023 |
|---|---|---|
| Cash and cash equivalents | 3,720 | 4,150 |
| Trade receivables | 2,410 | 2,690 |
| Inventories | 2,050 | 2,320 |
| Finance receivables | 6,900 | 7,480 |
| Property, plant & equipment | 5,180 | 5,460 |
| Other assets | 3,440 | 3,200 |
| **Total assets** | **23,700** | **25,300** |
| Trade payables | 2,260 | 2,540 |
| Debt (short + long term) | 8,900 | 9,300 |
| Other liabilities | 2,140 | 2,260 |
| **Total liabilities** | **13,300** | **14,100** |
| **Total equity** | **10,400** | **11,200** |

# Consolidated Statements of Cash Flows (Summary)

Operating cash flow increased to ¥1,760 billion. Free cash flow, defined as operating cash flow less capital expenditure, was ¥1,170 billion.

| ¥ billions | FY2022 | FY2023 |
|---|---|---|
| Operating cash flow | 1,540 | 1,760 |
| Capital expenditure | (540) | (590) |
| **Free cash flow** | **1,000** | **1,170** |
| Investing cash flow | (1,020) | (1,180) |
| Financing cash flow | (360) | (420) |
| Net change in cash | 160 | 160 |
| Cash, end of year | 3,720 | 4,150 |

## Research & Development and Capital Investment

Research and development expense was ¥880 billion in FY2023, equal to 5.2% of net revenue, up from ¥815 billion (5.6% of net revenue) in FY2022. Capital expenditure was ¥590 billion.

R&D; was concentrated in three priority areas: battery-electric vehicle platforms, software-defined vehicle architecture and connected services, and advanced driver-assistance systems. The company targets 30 new battery-electric models globally by FY2030 and plans to raise R&D; expense to approximately ¥1,000 billion in FY2024.

# Risk Factors

The following summarizes principal risks that could materially affect the company's results. This summary is illustrative and not exhaustive.

- Market risk: cyclical demand for automobiles and motorcycles, and intensifying price competition in electrified vehicles.
- Supply-chain risk: availability and cost of semiconductors, batteries, and critical raw materials such as lithium and nickel.
- Foreign-exchange risk: a significant share of revenue is earned outside Japan; a stronger yen reduces reported revenue and profit.
- Regulatory risk: tightening emissions and safety regulations increase compliance and development costs.
- Technology risk: rapid shifts toward electrification and software could render existing investments less competitive.

# Outlook and Guidance (FY2024)

For the fiscal year ending March 31, 2024, management provides the following consolidated forecast. Guidance assumes an average exchange rate of ¥135 to the US dollar.

| Metric | FY2023 actual | FY2024 forecast | Change |
|---|---|---|---|
| Net revenue (¥T) | 16.91 | 18.20 | +7.6% |
| Operating profit (¥B) | 1,124 | 1,300 | +15.7% |
| Net income (¥B) | 1,107 | 1,240 | +12.0% |
| Vehicle unit sales (M) | 4.07 | 4.35 | +6.9% |
| Dividend per share (¥) | 150 | 165 | +10.0% |

The forecast reflects continued volume recovery, a richer product mix, and disciplined pricing, partly offset by higher R&D; and launch costs for new electric models.

# Notes and Glossary

- Net revenue: consolidated sales of products and services, net of returns and discounts.
- Operating profit: net revenue less cost of sales, SG&A;, and R&D; expense.
- Net income (owners): profit for the year attributable to owners of the parent, excluding non-controlling interests (NCI).
- Free cash flow: operating cash flow less capital expenditure.
- CAGR: compound annual growth rate.
- ¥1 trillion = ¥1,000 billion = ¥1,000,000 million.
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